Dynamic Cables Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: DYCL · Report prepared 6 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

Dynamic Cables is a Jaipur company that makes power cables (low, medium and high voltage up to 66 kV), aluminium conductors and solar DC cables. It sells to business customers only: private power distributors, government electricity boards and contractors who build power lines, plus a small export book. Put simply, it makes the wires that carry electricity across India's grid.

Item	Number	What it means in plain words
Market value	₹1,800 cr	A small-cap. Share price ₹372, down from ₹402 at our last report. The year's range was ₹237-₹560.
P/E	19.2	Investors pay about 19 rupees for each rupee of yearly profit. Reasonable for a company growing sales at this pace.
Q2 FY27 sales	₹363 cr	Up 29% on a year ago. But volume only grew about 6%, so most of the jump is higher aluminium prices passed on to customers.
Q2 FY27 operating profit	₹36 cr (10%)	Ten paise of operating profit per rupee of sales, the bottom of the 10-11% band management always guides. Down from ₹38 cr in Q1.
Q2 FY27 net profit	₹22 cr	Up about 10% on a year ago, much slower than sales. Thinner gross margin plus a bit more interest.
H1 FY27	Sales ₹712 cr, profit ₹47 cr	First-half sales up 31%, profit up 24%. Sales are growing faster than profit.
ROCE / ROE	26.2% / 19.9%	Strong returns on the money in the business. No term debt; borrowing is only for working capital.

2 Concall coverage

Quarter	Call date	Transcript read?
Q2 FY25 → Q4 FY26 (7 calls, from the maiden call)	Oct 2024 - May 2026	Carried forward from the Q1-2027 report
Q1 FY27 (prior boundary)	20 Jul 2026	Read in full for the Q1-2027 report; backstory here
Q2 & H1 FY27	**27 Oct 2026**	**Newly deep-read in full ★**

Only the 27 October call was read in full this quarter. The company has held nine calls since listing its first one in October 2024; the history comes from our Q1-2027 report.

Latest concall highlights: Q2 FY27 (call 27 Oct 2026)

- **Sales up, margin down a notch.** Sales ₹363 cr (+29%), but volume grew only about 6%. Gross margin fell from above 20% to 16-17%. Management blamed the order mix and a little commodity swing, and asked investors to judge it on the 10-11% operating margin instead.
- **New plant installed, not yet earning.** Machinery is in at the new factory and it should "start contributing from the second half". Revenue potential now put at ₹240-250 cr a year on the ₹40-45 cr spent, ramping over three to four quarters. Last quarter the same plant was pitched at ₹270-300 cr.
- **Exports went backwards.** Exports were 8% of first-half sales against about 13% in Q1. The US business, just opened last quarter, had "a challenging quarter" on sea freight and insurance costs.
- **Orders picking up a bit.** Order book about ₹829 cr, up from ₹811 cr in June. Order booking "has improved" now that aluminium prices are falling. Receivables at a record low of under 60 days.
- **Tone:** confident on the 20% long-term growth guide and said FY27 should beat it, but refused any short-term numbers and gave short answers on margins, exports and data-centre cables.

Business mix & capacity

Customers (H1 FY27): private 69%, government 23%, exports 8%. So about 92% domestic. Plain read: exports shrank back after a good Q1, and government share rose.
Products (Q2 FY27): high-voltage cables 65%, low-voltage 28%, conductors and others 7%.
Capacity: no utilisation figure given this time (Q1 was about 85%). Existing gross block of about ₹200 cr supports roughly ₹1,400-1,500 cr of sales at the usual six to seven times asset turn. With the trailing sales near ₹1,370 cr, the old plants are close to full, which is why the new plant matters. More capex is "inevitable" over the next two years.

Since our last report

Builds on the Q1-2027 report (call 20 Jul 2026). Prior verdicts: **Trigger YES**, **Consistency MAYBE** (good on numbers, poor on timelines).

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Grid spending is real and funded; growth is mostly aluminium prices.	Same again: sales +29%, volume +6%. Order book inched up. Demand story intact.	Confirmed
Consistency: MAYBE	Delivers on growth and margins, late on projects.	Growth delivered; margin held inside the band, at its floor. Plant timing roughly kept.	On-track
New plant, Sep 2026	Commissioning in September, meaningful revenue from Q4 FY27.	Machinery installed; contribution "from the second half". Potential trimmed to ₹240-250 cr.	On-track (smaller)
US entry	First shipment done, small but long runway.	Challenging quarter on freight and insurance; no numbers given.	Slipping
Volume growth	Only 5-6%; would recover once metal prices settle.	About 6% again. Aluminium now falling, which management says should lift orders.	Unchanged

Verdict change: both verdicts unchanged. Nothing broke, nothing got better in a way that shows in the numbers yet.

3 Earning-trigger thesis

Is there a real earning trigger here?

Yes. India keeps spending heavily on power lines, renewable-energy connections and distribution upgrades, and Dynamic sells into that. It has grown sales about a fifth a year for a decade and keeps doing it. The honest catch is the same as last quarter: the growth in rupees is real, but much of it is aluminium price, and the actual amount of cable sold is growing only mid-single digits. The new plant is the piece that should lift volume, because the old plants are close to full. It comes on now and ramps through FY28.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
India power grid spending	"There is unlimited latent demand in power T&D infrastructure." 20% long-term growth "we still maintain".	H1 sales +31%; order book ₹829 cr; 70-80% repeat customers.	Multi-year	Strong	Unchanged
New greenfield plant	₹40-45 cr spent; ₹240-250 cr revenue potential; ramp in three to four quarters.	Machinery installed; contributes from H2. Old plants near their limit.	H2 FY27 - FY28	Moderate	Unchanged; potential trimmed
Margin discipline	"We generally typically do 10% to 11%"; 80-90% of contracts pass metal prices through.	Held in band for four years, but Q2 at 10% is the floor and gross margin dropped.	Ongoing	Moderate	↓ slight pressure
Exports and US	Big opportunity once freight and tariff "transient factors" settle.	Exports fell to 8% of H1 sales; US had a challenging quarter.	2+ years	Weak	↓ went backwards
Data-centre and e-beam solar cables	Data-centre "product readiness is still underway"; e-beam sales team engaging customers.	No orders disclosed; no timeline.	3+ years	Unproven	Unchanged

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Since Q2 FY25	About 20% long-term sales growth.	FY25 +33%, FY26 +17%, H1 FY27 +31%.	Delivered
Since Q2 FY25	Operating margin 10-11%.	Held for four years; Q2 FY27 at 10%, the bottom of the band.	Delivered
Q2 FY25 → May 2026	New plant by Q2 FY26, later "by end-FY26", then September 2026.	About 15 months late on the first date; machinery installed around the latest date, contributing from H2.	Partly (late)
Q2 FY25	US sales in four to six quarters.	First shipment Q1 FY27, then a "challenging" Q2.	Partly
Q1 FY27	New plant adds ₹270-300 cr of sales capacity.	Now ₹240-250 cr "initially".	Trimmed
Ongoing	Tight working capital, low debt.	Receivables under 60 days, a record. No term debt; finance cost kept under 15% of operating profit.	Delivered

Narrative drift. The core story hasn't moved: grid demand, 20% growth, 10-11% margins, low debt. That's steady and it keeps getting delivered. What wobbles is everything around the edges. The plant's potential got a little smaller between two calls with no explanation. Exports were the exciting new thing last quarter and are now a "transient" problem. And on volume, management has settled on a line that only value growth matters. That's fair for a pass-through business, but it also means the company won't say how much more cable it's actually selling. The answers on this call were short and a few questions went unanswered, which felt less open than earlier calls.

5 Bottom line

DURABLE EARNING TRIGGER? → YES vs last quarter: unchanged

Nothing moved it. India's grid spending is real and Dynamic keeps converting it into sales growth above its own 20% guide, with good returns and no term debt. The new plant is installed just as the old ones run out of room, so second-half volume should get a lift. The caveat is unchanged: most of the rupee growth is metal prices, volume is growing slowly, and profit grew far slower than sales this quarter. If the new plant doesn't lift volume by Q4, the growth is mostly aluminium.

MANAGEMENT CONSISTENT? → MAYBE vs last quarter: unchanged

Still good on the numbers that matter (growth, margin band, debt, receivables) and still loose on everything else. The plant arrived roughly on its last date but its potential was trimmed quietly. The US push, sold as a long runway three months ago, stalled. No new big miss, no new proof of reliability. Next tests: does the plant show up in Q3 and Q4 sales, and does margin get back to the middle of the 10-11% band.